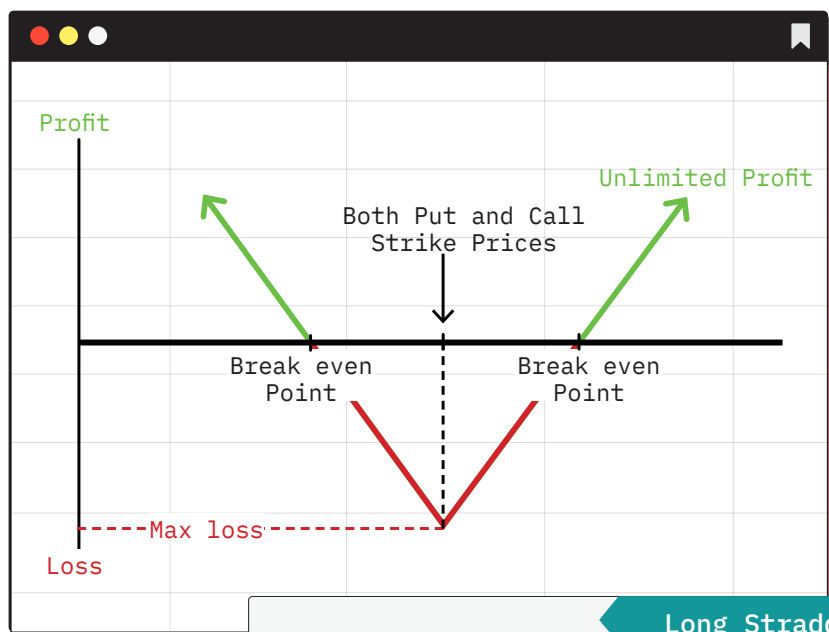


Selling a straddle can be a good way to earn regular income but it requires expertise and good risk management. This chapter explains straddles and the VWAP indicator before discussing a tactical strategy for selling intraday straddles using VWAP.

WHAT IS A STRADDLE?



Long Straddle

A long straddle is a directionally neutral strategy in which a call and a put option of the same strike price are bought. A trader aims to profit from the high volatility in either direction while buying a long straddle. This strategy is mainly deployed during the times of big events like Budget, election results, etc. The maximum loss while buying a long straddle is limited to the premium paid. A trader will only incur loss if the underlying asset goes sideways or stays near the strike price.